

Worker Voice, Collective Action, and Bargaining Institutions

Labor Markets and Political/Cultural Institutions — Week 4

Teaching deck draft

Central question

- How do worker organizations and bargaining institutions form?
- How do they change wages, rents, governance, inequality, and workplace power?
- Which effects are direct effects on organized units, and which are spillovers to uncovered workers or politics?

- Week 3: formal contracts, payroll systems, and legal protection often cover only part of work.
- Week 4: workers may respond to weak individual claim power through collective organization.
- Collective institutions change threat points, information flows, monitoring, and surplus division.
- The labor object is organization, coverage, wage-setting, voice, and spillovers.

What counts as worker voice?

Object	Labor-market interpretation
Union membership	workers formally join an organization
Bargaining coverage	workers are covered by a collective agreement
Enterprise bargaining	bargaining occurs at the firm or establishment
Sectoral bargaining	bargaining is coordinated above the firm
Works councils	shop-floor consultation and representation
Codetermination	board-level worker representation
Strike capacity	credible collective-action threat

Membership is not coverage

- Membership measures the workers who join an organization.
- Coverage measures the workers governed by a collective agreement.
- Coverage can exceed membership when sectoral agreements or extension rules apply.
- Enterprise systems make local certification and employer opposition central.
- Sectoral systems make coordination, extension, and wage compression central.

How organizations form

Margin	Worker side	Employer / legal side
Demand	voice, wages, fairness, protection	expected cost of organization
Costs	recruitment, trust, dues, retaliation risk	opposition and delay
Certification	votes, mobilization, majority thresholds	recognition law and unit rules
Tightness	outside options and replacement risk	labor scarcity and vacancy costs
Design	union, works council, sectoral coverage	extension, thresholds, strike law

Organization is endogenous

- Observed union density is not latent worker demand.
- It is demand filtered through organizing costs, law, employer opposition, and labor-market conditions.
- Close elections identify marginal recognition victories, not all possible unionization.
- Tight labor markets can raise activity by improving outside options and lowering retaliation fear.
- Institutional design determines whether organization is workplace-by-workplace or coverage-based.

Wages, rents, and coverage

- Collective bargaining can shift rents from firms to workers.
- Wage effects depend on firm rents, labor-demand elasticity, product-market competition, and strike capacity.
- Coverage can matter even when membership is low.
- Sectoral bargaining can compress wages across workers and firms.
- Enterprise bargaining is closest to close-election causal designs.

A surplus map

$$\Delta S = \Delta W_{workers} + \Delta \Pi_{firms} + \Delta G_{voice} + \Delta E_{spillovers}$$

- $\Delta W_{workers}$: wages, benefits, risk, and job quality for covered workers.
- $\Delta \Pi_{firms}$: profits, productivity, payroll, investment, and employment.
- ΔG_{voice} : governance, information, retention, and representation.
- $\Delta E_{spillovers}$: uncovered workers, wage norms, inequality, and politics.

- DiNardo–Lee: new unionization near certification-election thresholds.
- Frandsen: matched employer-employee evidence on worker and establishment margins.
- The design compares barely winning and barely losing campaigns.
- It is strongest for direct effects on organized units near the threshold.
- It is not a complete estimate of sectoral coverage, spillovers, or latent demand.

- The voice face changes information, grievance handling, scheduling, training, safety, and retention.
- Works councils provide consultation and workplace representation.
- Codetermination gives workers board-level representation.
- These institutions can affect productivity and trust even when wage bargaining is limited.
- The empirical object is governance, not just wage premia.

German model as a teaching case

- Sectoral bargaining can set wage standards above the firm.
- Works councils can govern workplace information and consultation.
- Codetermination can connect labor voice to corporate decisions.
- The same country can combine multiple representation channels.
- This is why “union effect” needs institutional detail.

Spillovers and inequality

- Threat effects: nonunion firms may raise wages to deter organization.
- Coverage spillovers: agreements can influence uncovered workers.
- Norm spillovers: wage-setting rules can create broader pay standards.
- Composition effects: firms may change hiring, outsourcing, or capital use.
- Inequality effects require direct and uncovered-worker margins.

Direct effects are not enough

- A treatment-on-the-treated estimate can miss wage norms in the wider market.
- Coverage can compress wages even when membership is modest.
- Uncovered workers may gain through threat effects or lose through reallocation.
- Distributional decompositions ask how institutions reshape the whole wage structure.
- Fortin–Lemieux–Lloyd is the Week 4 spillover anchor.

Political spillovers and feedback

Direction	Mechanism
Unions to politics	turnout, political information, participation, campaign contact, policy advocacy
Politics to unions	right-to-work laws, bargaining rights, strike law, public-sector rules, enforcement
Feedback loop	political rules reshape worker organization; organizations reshape political coalitions

Keep politics bounded

- Political outcomes matter because unions are worker organizations.
- The labor-market object remains organization, coverage, bargaining power, and voice.
- Voting and participation are downstream outcomes or feedback channels.
- Right-to-work laws are institutional shocks to organizing capacity and union security.
- This is a labor institutions lecture, not a general parties lecture.

Comparative regimes

Regime	Central object	Main labor margin
Enterprise bargaining	local recognition	firm-level wages and employment
Sectoral bargaining	coverage and extension	wage coordination and compression
Dual-channel systems	bargaining plus councils	wages, governance, information
Codetermination	board representation	governance and strategy
Weak coverage	high costs or legal barriers	latent demand and failed formation

Empirical designs and what they identify

Design	Identifies best	Observed margins
Close-election RD Matched event study	recognition at threshold worker and firm incidence	wages, employment, payroll careers, separations, turnover
Bargaining-right reform Representation threshold	legal capacity to organize voice institutions	coverage, wages, politics productivity, retention, gov- ernance
Distributional decomposition	spillovers and inequality	wage structure, uncovered workers
Survey / field evidence	organizing demand	preferences, fear, tightness

- Reproduce: synthetic close-election design inspired by DiNardo–Lee.
- Diagnose: worker and establishment margins inspired by Frandsen.
- Transfer: classify spillover, governance, and political-feedback designs.
- Core output: what object forms, what margin moves, and what the design identifies.

- Week 4: formal collective organization changes bargaining, governance, and spillovers.
- Week 5: culture and norms shape labor allocation before formal organization may exist.
- The next question: how do beliefs about work, family, status, mobility, and acceptable jobs shape labor supply and search?
- Keep the same discipline: labor outcome, institutional object, mechanism, evidence.

- Collective institutions are about organization, coverage, bargaining, voice, and power.
- Organization formation is endogenous to worker demand, law, costs, opposition, and tightness.
- Wage effects, governance effects, spillovers, and political feedback are distinct margins.
- Strong empirical work names the institutional object and the identified margin.